CONFIDENTIAL - Calloway Metrics

Legal Settlement Summary: Rennick Systems v. Calloway Metrics

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CONFIDENTIAL. ATTORNEY CLIENT PRIVILEGED. Prepared by the Office of the General Counsel for the Audit Committee. Matter: Rennick Systems LLC v. Calloway Metrics, Inc., patent infringement, District of Delaware. Status: settled in principle on September 30, 2026.

Background. Rennick Systems, a non practicing entity, filed suit in February 2025 alleging that Calloway's query caching feature infringed two patents relating to incremental materialization of aggregate tables. Rennick sought damages of 14 million dollars plus a running royalty of 2 percent on affected revenue. Outside counsel assessed our invalidity defense as strong for one patent and moderate for the other.

Settlement terms. Calloway will pay Rennick a lump sum of 2.75 million dollars within 30 days of executing the definitive agreement. In exchange, Rennick grants Calloway and its customers a fully paid up, perpetual, worldwide license to the asserted patents and the remainder of its portfolio of 31 patents. Both parties will file a joint stipulation of dismissal with prejudice. There is no admission of liability.

- Lump sum payment: 2,750,000 dollars, of which 1,900,000 dollars is covered by our IP insurance policy
- Net cost to Calloway after insurance: 850,000 dollars
- Legal fees incurred to date: approximately 3.4 million dollars
- Projected cost to try the case through verdict: an additional 4.1 million dollars
- Confidentiality: terms may not be disclosed except as required by law or to auditors

Rationale. Trial was scheduled for March 2027. Our damages expert estimated a reasonable royalty exposure between 3.8 and 9.2 million dollars if we lost on both patents. Given the cost of trial and the distraction to engineering leadership, who would have been required to testify, counsel recommended settlement. The license to the entire Rennick portfolio also removes the risk of follow on suits related to the Tidewater streaming product.

Accounting treatment. Finance will record a charge of 850,000 dollars in Q3 2026 for the net settlement amount. The insurer has confirmed coverage in writing. Auditors have been informed and agree that no restatement of prior periods is necessary.

Disclosure. Because the amount is not material to the financial statements, no public disclosure is required. Customers who asked about the litigation should be told only that the matter has been resolved to the mutual satisfaction of the parties. Sales staff must not discuss settlement amounts.

Lessons learned. The litigation exposed that our invention disclosure process lagged behind engineering output, leaving us with few defensive patents. The General Counsel recommends filing at least six provisional applications covering Tidewater and Lantern in 2027 and joining a defensive patent pool at an annual cost of about 90,000 dollars.

Next steps. Execute the definitive settlement agreement by October 20. Wire payment by November 19. File dismissal within five business days of payment. Update the litigation reserve and the risk register accordingly.

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